



SASINI LIMITED

SASINI HOUSE, LOITA STREET,P.O. BOX 30151-00100, NAIROBI
(A Member of The Sameer Group)

ANNOUNCEMENT OF RESULTS FOR THE YEAR ENDED 30TH SEPTEMBER 2016 (AUDITED)

STATEMENT OF COMPREHENSIVE INCOME

	Group 30.09.2016 Ksh '000	30.09.2015 Ksh '000	Company 30.09.2016 Ksh '000	30.09.2015 Ksh '000
REVENUE	3,570,629	2,786,126	1,296,513	934,798
Gain/(Losses) arising from changes in fair value of biological assets less cost to sell	133,566	18,290	8,761	(97,068)
RESULTS FROM OPERATING ACTIVITIES	917,501	964,524	868,978	500,459
Finance income	116,869	93,864	20,307	20,211
Finance costs	(13,612)	(19,166)	(5,850)	(6,986)
PROFIT BEFORE TAX	1,020,758	1,039,222	883,435	513,684
TAXATION (CHARGE)/CREDIT	(258,908)	61,990	(78,322)	(9,480)
PROFIT FOR THE YEAR	761,850	1,101,212	805,113	504,204
OTHER COMPREHENSIVE INCOME				
Revaluation gain net of tax	-	405,712	-	169,229
Remeasurement of post-employment benefits	1,945	32,734	(2,809)	3,742
Change in deferred tax attributed to change in tax rate	(241,484)	203,699	(175,972)	-
TOTAL COMPREHENSIVE INCOME	522,311	1,743,357	626,332	677,175
NON CONTROLLING INTEREST	(10,670)	126,449	-	-
TOTAL PROFIT/(LOSSES) ATTRIBUTABLE TO MEMBERS	772,520	974,763	805,113	504,204
PROFIT ARISING FROM OPERATING ACTIVITIES ATTRIBUTABLE TO MEMBERS	679,024	953,650	798,980	572,152
GAINS/(LOSS) ARISING FROM CHANGES IN FAIR VALUE OF BIOLOGICAL ASSETS	93,496	21,113	6,133	(67,948)
TOTAL PROFIT/(LOSSES) ATTRIBUTABLE TO MEMBERS	772,520	974,763	805,113	504,204
EARNINGS PER SHARE (KSHS) ON OPERATING ACTIVITIES	2.98	4.18	3.50	2.51
EARNINGS/(LOSS) PER SHARE (KSHS) ON BIOLOGICAL ASSETS	0.41	0.09	0.03	(0.30)
EARNINGS PER SHARE (KSHS)	3.39	4.27	3.53	2.21
ISSUED AND FULLY PAID SHARES OF KSHS 1 EACH	228,055	228,055	228,055	228,055
DIVIDEND PER SHARE (KSHS)	1.50	1.25	1.50	1.25

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Defined Benefit Reserve Ksh '000	Retained Earnings Ksh '000	Biological Assets Fair Value Reserve Ksh '000	Proposed Dividends Ksh '000	Non- Controlling Interest Ksh '000	Total Equity Ksh '000
At 1 October 2014	228,055	98,530	7,337,072	17,954	1,370,695	2,769,893	57,014	241,755	12,120,968
Total comprehensive income for the year	-	-	-	-	974,763	-	-	126,449	1,101,212
Profit for the year	-	-	-	-	974,763	-	-	126,449	1,101,212
Fair value gain on biological assets	-	-	-	-	(21,113)	21,113	-	-	-
Revaluation gain	-	-	565,538	-	-	-	-	14,051	579,589
Deferred tax on revaluation	-	-	(169,662)	-	-	-	-	(4,215)	(173,877)
Remeasurement of post employment benefit net of tax	-	-	-	32,566	-	-	-	168	32,734
Transfer on disposals of Property and Equipment	-	-	(10,469)	-	104,952	(94,483)	-	-	-
Change in Deferred Tax rate on Revaluation	-	-	162,595	-	-	-	-	41,104	203,699
Deferred tax on items disposed	-	-	2,900	-	-	5,558	-	791	9,249
Total comprehensive income for the year	-	-	550,902	32,566	1,058,602	(67,812)	-	178,348	1,752,606
Transactions with owners of the company recorded directly in equity									
Final 2014 dividend paid	-	-	-	-	(228,055)	-	(57,014)	-	(57,014)
Interim 2015 dividend paid	-	-	-	-	(57,014)	-	-	(30,000)	(258,055)
Proposed final 2015 dividend	-	-	-	-	(57,014)	-	57,014	-	-
Total distribution to owners of the company	-	-	-	-	(285,069)	-	-	(30,000)	(315,069)

At 30 September 2015	228,055	98,530	7,887,974	50,520	2,144,228	2,702,081	57,014	390,103	13,558,505
At 1 October 2015	228,055	98,530	7,887,974	50,520	2,144,228	2,702,081	57,014	390,103	13,558,505
Total comprehensive income for the year	-	-	-	-	772,520	-	-	(10,670)	761,850
Profit for the year	-	-	-	-	772,520	-	-	(10,670)	761,850
Fair value gain on biological assets	-	-	-	-	(93,496)	93,496	-	-	-
Revaluation transfer on disposal	-	-	(20,585)	-	131,741	(111,156)	-	-	-
Deferred tax on disposed items	-	-	(6,556)	-	-	-	-	-	(6,556)
Remeasurement of post employment benefit net of tax	-	-	-	2,129	-	-	-	(184)	1,945
Change in deferred tax on revaluation	-	-	(233,268)	-	-	-	-	(8,216)	(241,484)
Total comprehensive income for the year	-	-	(260,409)	2,129	810,765	(17,660)	-	(19,070)	515,755
Transactions with owners of the company recorded directly in equity									
Reclassification from non-controlling interest	-	-	-	-	6,910	-	-	(6,910)	-
Final 2015 dividend paid	-	-	-	-	(57,014)	-	(57,014)	-	(57,014)
1st Interim 2016 dividend paid	-	-	-	-	(285,069)	-	285,069	-	(57,014)
2nd Interim 2016 dividend payable	-	-	-	-	-	-	-	-	-
Total distribution to owners of the company	-	-	-	-	(335,173)	-	228,055	(6,910)	(114,028)

At 30 September 2016	228,055	98,530	7,627,565	52,649	2,619,820	2,684,421	285,069	364,123	13,960,232
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COMPANY STATEMENT OF CHANGES IN EQUITY

	Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Defined Benefit Reserve Ksh '000	Retained Earnings Ksh '000	Biological Assets Fair Value Reserve Ksh '000	Proposed Dividends Ksh '000	Non- Controlling Interest Ksh '000	Total Ksh '000
At 1 October 2014	228,055	40,594	5,508,889	1,714	342,820	1,247,109	57,014	-	7,426,195
Total comprehensive income for the year	-	-	-	-	504,204	-	-	-	504,204
Profit for the year	-	-	-	-	504,204	-	-	-	504,204
Fair value gain on biological assets	-	-	-	-	67,948	(67,948)	-	-	-
Revaluation gain	-	-	241,756	-	-	-	-	-	241,756
Deferred tax on revaluation	-	-	(72,527)	-	-	-	-	-	(72,527)
Revaluation adjustment for prior year	-	-	-	-	-	-	-	-	-
Remeasurement of post employment benefit	-	-	-	5,346	-	-	-	-	5,346
Deferred tax on remeasurement of post employment benefit	-	-	-	(1,604)	-	-	-	-	(1,604)
Total comprehensive income for the year	-	-	169,229	3,742	572,152	(67,948)	-	-	677,175
Transactions with owners of the company recorded directly in equity									
Final 2014 dividend paid	-	-	-	-	(228,055)	-	(57,014)	-	(57,014)
Interim 2015 dividend paid	-	-	-	-	(57,014)	-	-	-	(228,055)
Proposed final 2015 dividend	-	-	-	-	-	-	57,014	-	-
Total distribution to owners of the company	-	-	-	-	(285,069)	-	-	-	(285,069)
At 30 September 2015	228,055	40,594	5,678,118	5,456	629,903	1,179,161	57,014	-	7,818,301
At 1 October 2015	228,055	40,594	5,678,118	5,456	629,903	1,179,161	57,014	-	7,818,301
Total comprehensive income for the year	-	-	-	-	805,113	-	-	-	805,113
Profit for the year	-	-	-	-	805,113	-	-	-	805,113
Fair value gain on biological assets	-	-	-	-	(6,133)	6,133	-	-	-
Transfer on disposals of property and equipment	-	-	21,853	-	(21,853)	-	-	-	-
Deferred tax on disposed items	-	-	(6,556)	-	-	-	-	-	(6,556)
Change in deferred tax on revaluation	-	-	(175,972)	-	-	-	-	-	(175,972)
Remeasurement of post employment benefit	-	-	-	(4,013)	-	-	-	-	(4,013)
Deferred tax on remeasurement of post employment benefit	-	-	-	1,204	-	-	-	-	1,204
Total comprehensive income for the year	-	-	(160,675)	(2,809)	777,127	6,133	-	-	619,776
Transactions with owners of the company recorded directly in equity									
Final 2015 dividend paid	-	-	-	-	(57,014)	-	(57,014)	-	(57,014)
1 st Interim 2016 dividend paid	-	-	-	-	(285,069)	-	285,069	-	(57,014)
2 nd Interim 2016 dividend payable	-	-	-	-	-	-	-	-	-
Total distribution to owners of the company	-	-	-	-	(342,083)	-	228,055	-	(114,028)
At 30 September 2016	228,055	40,594	5,517,443	2,647	1,064,947	1,185,294	285,069	-	8,324,049

STATEMENT OF FINANCIAL POSITION

	Group 30.09.2016 Ksh '000	30.09.2015 Ksh '000	Company 30.09.2016 Ksh '000	30.09.2015 Ksh '000
ASSETS				
NON-CURRENT ASSETS				
Property, plant and equipment	8,695,835	8,770,714	5,939,647	6,003,214
Intangible assets	7,275	8,393	5,541	5,855
Biological assets	5,227,217	5,077,329	1,858,025	1,842,777
Prepaid leases - leasehold land	17,838	18,473	7,077	7,633
Available - for - sale financial assets	525	525	-	-
Deferred tax	26,192	77,070	-	-
Investments in subsidiary companies	-	-	172,697	172,697
14,033,606	13,985,862	8,040,166	8,032,176	
CURRENT ASSETS				
Inventories	364,524	341,362	94,723	96,595
Trade and other receivables	456,078	510,106	140,863	205,944
Amounts due from related companies	2,397	1,209	328,450	31,429
Taxation recoverables	7,307	5,474	-	-
Cash and cash equivalents	1,954,551	1,200,514	797,943	317,023
2,784,857	2,058,665	1,361,979	650,991	
16,818,463	16,044,527	9,402,145	8,683,167	
TOTAL ASSETS				
EQUITY AND LIABILITIES				
Capital and reserves				
Share capital	228,055	228,055	228,055	228,055
Non - distributable reserves	10,463,165	10,739,105	6,745,978	6,903,329
Distributable reserves	2,904,889	2,201,242	1,350,016	686,917
13,596,109	13,168,402	8,324,049	7,818,301	
364,123	390,103	-	-	
13,960,232	13,558,505	8,324,049	7,818,301	
Non- current liabilities				
Deferred tax liability	2,055,420	1,801,496	856,009	671,781
Post employment benefits	232,488	216,814	21,847	15,113
2,287,908	2,018,310	877,856	686,894	
Current liabilities				
Post employment benefits	26,979	28,596	3,721	3,208
Amounts due to related companies	531	1,082	-	49,499
Trade and other payables	487,043	429,139	176,455	123,862
Tax payable	55,770	8,895	20,064	1,403
570,323	467,712	200,240	177,972	
16,818,463	16,044,527	9,402,145	8,683,167	
STATEMENT OF CASH FLOW OPERATING ACTIVITIES				
Cash Flow Generated from Operations	615,584	314,876	(18,925)	(20,841)
Gratuity paid	(28,737)	(33,509)	(914)	(1,105)
Income taxes paid	(157,938)	(153,225)	(56,757)	(50,091)
Net cash flows generated from/(used in) operating activities	428,909	128,142	(76,596)	(72,037)
INVESTING ACTIVITIES				
Purchase of property, plant and equipment	(62,350)	(21,795)	(39,089)	(14,145)
Purchase of intangible assets	(1,740)	(3,434)	(1,740)	(2,039)
Purchase of biological assets	(16,322)	(6,487)	(6,487)	-
Purchase of capital work - in - progress	(73,121)	(13,249)	(57,179)	-
Interest income	116,257	44,222	19,695	16
Dividend received from Subsidiary company	-	-	276,750	494,500
Proceeds on sale of property, plant and equipment	482,704	1,061,282	482,557	57,640
Net cash flow generated from investing activities	445,428	1,067,026	674,507	535,972
FINANCING ACTIVITIES				
Interest paid	(3,028)	(6,986)	(2,973)	(6,986)
Dividend paid on ordinary shares	(114,028)	(315,069)	(114,028)	(285,069)
Net cash flow used in financing activities	(117,056)	(322,055)	(117,001)	(292,055)
Net Increase in Cash and cash equivalents	757,281	873,113	480,910	171,880
Cash and cash equivalents at the beginning of the year	1,200,514	325,865	317,023	144,813
Net unrealised foreign exchange (loss)/gain	(3,244)	1,536	10	330
Cash and cash equivalents at the end of the year	1,954,551	1,200,514	797,943	317,023

COMMENTARY ON THE RESULTS FOR THE YEAR ENDED 30.09.2016

The company achieved tea production during the year of 11,108 Tons of made tea compared to 8,578 Tons in the previous year. The average price realized for tea marginally increased to USD 1.89/kg compared to USD 1.87